RPS Research

August 25, 2025

Price Target

$ 53.45

Hut 8 Corp.

HUT
Sector: Digital Assets

AI pivot accelerating – Bitcoin dependency decreasing

Key Highlights

Q2/2025 Results: HUT 8 reported Q2 2025 revenue of $41.3 million, up 17% from Q1 2025 and 16% from Q2 2024. Net income surged to $137.5 million, compared to a net loss of $134.3 million in Q1 2025 and $71.9 million in Q2 2024, driven by a $217.6 million gain on Bitcoin holdings. Adjusted EBITDA reached $221.2 million, reflecting efficient operations and initial ASIC/CPU colocation revenues of $1.5 million.

Financial Position: Q2 capex was $75 million, primarily for infrastructure expansion at Vega; liquidity is supported by 10,667 BTC (~$1.1B market value), low net leverage, an expanded ATM program to $1B, and a BTC-backed secured credit facility increased to ~$130 million at a fixed rate, enhancing flexible, non-dilutive funding.

2025 Update: Management reiterates a path toward ~15 EH/s by year-end as total energy capacity under management reached ~1,020 MW (+27% Q/Q) and the power pipeline under exclusivity grew to ~3.1 GW; commercialization reached ~90%, materially reducing merchant exposure.

Enhanced Liquidity: The Bitcoin treasury provides a strategic buffer amid volatility, with self-mined BTC of 1,726 in Q2 (up 58% Q/Q).

Operational Shifts: Initial energization at the 205 MW Vega site commenced; ASIC colocation advancing with American Bitcoin across 130+ MW and multi-year power contracts (including 310 MW with IESO) strengthen recurring revenue visibility; advanced AI opportunities total ~430 MW, with River Bend positioned for expansion; energy costs remain competitive at ~$0.04–$0.05/kWh.

Diversification: The revenue mix continues to broaden beyond self-mining, with contracted Power and Digital Infrastructure segments underpinning predictable fees; the strategy reduces volatility and aligns capacity to higher-value compute over time.

Technicals: HUT 8 closed at $23.45 on August 25, 2025, up from recent lows around $21. The stock trades above its 50-day SMA of $22.16 and 200-day SMA of $15.89, signaling bullish momentum. RSI is around 55, indicating balanced conditions without overbought signals. Average daily trading volume in 2025 is ~4.5 million shares and Fibonacci retracements suggest support at $20.50 (38.2%) and resistance at $28.00 (161.8% extension).

Industry: The Bitcoin mining industry in 2025 remains profitable despite post-halving challenges, with global revenue projected at $20.4 billion (up 9% YoY) and hash rates peaking at 943 EH/s. Efficiency gains have reduced machine costs to $16/TH from $80/TH in 2022, while consolidation and diversification into AI are key trends. The AI data center market is booming, with a 28.3% CAGR, requiring $6.7 trillion in investments by 2030 to meet compute demands; by 2025, AI will drive 33% of global data center capacity amid surging power needs and modular designs.

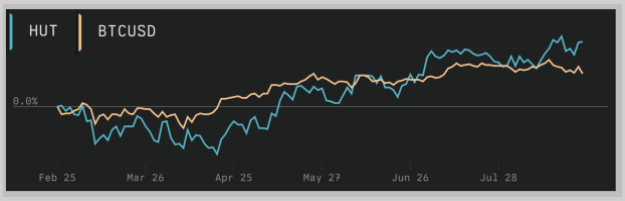
Thesis Conclusion: HUT 8 represents a compelling high-reward investment opportunity trading at a significant discount to fair value, with our analysis indicating a target price of $53.45 versus the current $23.45, driven primarily by the undervalued Bitcoin holdings strategy and successful AI/data center transformation. The company has evolved beyond traditional mining into an energy and data center business, creating multiple value pathways. The convergence of institutional Bitcoin adoption and explosive AI compute demand positions HUT 8 uniquely with dual exposure to both digital assets and data center growth. Key risk-reducing factors include contracted revenue streams reducing price volatility, multiple business lines, and proven management execution on complex projects. For investors seeking amplified Bitcoin exposure with operational downside protection, HUT 8 offers superior risk-adjusted returns versus direct Bitcoin ownership or pure-play miners, particularly given the market's apparent undervaluation of Bitcoin holdings impact and data center growth opportunity.

About the Company

HUT 8 is a North American public energy infrastructure company that focuses on developing and operating integrated power, digital infrastructure, and compute assets to fuel energy-intensive technologies, including Bitcoin mining and AI data centers. With operations across Canada and the United States, including natural gas power plants in Ontario and renewable-powered sites like Vega in Quebec, HUT 8 employs a power-first strategy targeting scalable and underutilized energy sources for high-performance computing. The company leverages its technical expertise to enhance these assets through operational expansions, diversifications into AI hosting, and strategic investments, concentrating on high-margin production opportunities in North America. This approach positions HUT 8 as a dynamic player in the digital asset and AI infrastructure sector, balancing immediate cash flow generation from Bitcoin holdings with long-term growth potential through prudent acquisitions and infrastructure developments across key markets.

Stock Price	$23.45
Reccomendation Rating	Buy
Target	$53.45
Expected Return	128%
Average Daily Volume (2025 YTD)	$5,626,496
YTD Performance	0.0713
52-Week High	$31.95
52-Week Low	8.73
Beta	3.04 - 3.45
Shares Outstanding (Basic)	105.53 million
Shares Outstanding (Diluted)	102.9 million
Market Capitalization	$2.47 billion

	2024A	Q2 2025A	2026F
Hash Rate Capacity (EH/s)	5.2 EH/s (avg)	9.3 EH/s	15-18 EH/s
Fleet Efficiency (J/TH)	29.3 J/TH (avg)	20.1 J/TH	<18 J/TH
Bitcoin Production (BTC)	1,294 BTC	~200 BTC (est	2200 -2400 BTC
Energy Capacity Under Management (MW)	665 MW	1,020 MW	*1,200-1,500 MW*
Bitcoin Mined per Day (average)	3.5 BTC/day	2.2 BTC/day	5-7 BTC/day
Total Deployed Miners (thousands)	121.4K (Dec)	135K+	135K-140K
Capacity Under Exclusivity (MW)	2,800 MW	3,100 MW	3,500+ MW
Financial Metrics			
Total Revenue ($M)	162	259	517
EBITDA ($M)	556	194	205
Bitcoin Treasury Holdings (BTC)	10,096	10,667	12,700
Free Cash Flow ($M)	-350	-94	139



High correlation with BTC

Prepared by Rishampreet Singh using information from HUT 8's filings and other reports. Please reach out to rishampreet10@gmail.com if you'd like to access the DCF Model which was developed to prepare this report.